

At various times in 1971 the Dow Jones Industrial Average stood at the 892 level of November 1964 that we considered in our previous edition. But in the present statistical study we have decided to use the price level and the related data for the Standard & Poor's composite index (or S & P 500), because it is more comprehensive and representative of the general market than the 30-stock DJIA. We shall concentrate on a comparison of this material near the four dates of our former editions—namely the year-ends of 1948, 1953, 1958 and 1963—plus 1968; for the current price level we shall take the convenient figure of 100, which was registered at various times in 1971 and in early 1972. The salient data are set forth in Table 3-3. For our earnings figures we present both the last year's showing and the average of three calendar years; for 1971 dividends we use the last twelve months' figures; and for 1971 bond interest and wholesale prices those of August 1971.

The 3-year price/earnings ratio for the market was lower in October 1971 than at year-end 1963 and 1968. It was about the same as in 1958, but much higher than in the early years of the long bull market. This important indicator, taken by itself, could not be construed to indicate that the market was especially high in January 1972. But when the interest yield on high-grade bonds is brought into the picture, the implications become much less favorable. The reader will note from our table that the ratio of stock returns (earnings/price) to bond returns has grown worse during the entire period, so that the January 1972 figure was less favorable to stocks, by this criterion, than in any of the previous years examined. When dividend yields are compared with bond yields we find that the relationship was completely reversed between 1948 and 1972. In the early year stocks yielded twice as much as bonds; now bonds yield twice as much, and more, than stocks.